

Pearson Edexcel

**Level 3 GCE — Predicted Paper — Moderate
Economics A (9EC0/03)**

Paper 3: Microeconomics and Macroeconomics

Synoptic paper. Two case-study sections combining micro and macro.

MARK SCHEME

Total Marks: 100 • Time: 2 hours

(For revision and practice use only.)

General marking guidance

- All candidates must receive the same treatment. Examiners must mark the first candidate in exactly the same way as they mark the last.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than penalised for omissions.
- Examiners should mark according to the mark scheme — not according to their perception of where the grade boundaries may lie.
- All marks on the mark scheme should be used appropriately.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved, i.e. if the answer matches the mark scheme.
- Where some judgement is required, mark schemes will provide the principles by which marks will be awarded and exemplification may be limited.
- When examiners are in doubt regarding the application of the mark scheme to a candidate's response, the team leader must be consulted.
- Crossed-out work should be marked UNLESS the candidate has replaced it with an alternative response.

Assessment Objectives — weighting in Paper 3

- AO1: Demonstrate knowledge of terms/concepts and theories.
- AO2: Apply knowledge to problems and issues in familiar and unfamiliar contexts.
- AO3: Analyse issues within economics, showing an understanding of their impact on economic agents.
- AO4: Evaluate economic arguments and use qualitative and quantitative evidence to support informed judgements relating to economic issues.

Levels-based marking for 25-mark questions

Indicative content is provided as a guide and is not exhaustive. Examiners should use the levels descriptors below to award an overall level, then use a best-fit approach to award a mark within the level.

Level	Marks	Descriptor
1	1–5	Isolated knowledge, largely descriptive. Limited use of the extract/figure. Very limited or no analysis; no evaluation.
2	6–10	Sound knowledge of at least two relevant concepts. Some relevant application. Analysis is developed but may be one-sided. Evaluation is superficial or undeveloped.
3	11–15	Good, accurate knowledge across several concepts. Application is consistent and uses data/extract. Analysis is logical and largely balanced. Evaluation is attempted but not prioritised.
4	16–20	Strong, accurate knowledge throughout. Application is precise, extensive and data-driven. Analysis is well-developed and two-sided. Evaluation is explicit with supported judgements.
5	21–25	Excellent, fully integrated knowledge. Application is sophisticated and embedded. Analysis is rigorous, chained and balanced. Evaluation is prioritised, contextual and leads to a reasoned, supported judgement.

Question 1(a) — Calculation (5 marks)

Calculate the percentage increase in the UK average house price between 2018 and 2026.

Marks breakdown

AO1	AO2	AO4
1	2	2

Expected working and answer

- Identify values from Figure 1: 2018 = £228,000; 2026 = £315,000. (1 mark)
- Correct method: $(315 - 228) / 228 \times 100$. (2 marks)
- Correct calculation: $87 / 228 \times 100 = 38.16\%$. (Accept 38%, 38.2%, 38.16%.) (2 marks)

Marking notes

- Full marks for any correct method reaching the accepted answer with working shown.
- Award 4 out of 5 for a fully correct calculation without any workings.
- Award up to 3 marks if the method is correct but a minor arithmetic error is made, provided working is shown (OFR).
- Do not penalise rounding between 38% and 38.2%.

Question 1(b) — Discuss (12 marks)

Microeconomic effects of demand-side policies (e.g. Help to Buy) on the UK housing market, with diagram.

Marks breakdown

AO1 (K)	AO2 (App)	AO3 (An)	AO4 (Ev)
3	3	3	3

Indicative content — arguments candidates may develop

- Knowledge: understanding of demand, supply, equilibrium price/quantity; definition of demand-side policy; price elasticity of supply in housing.
- Application: reference to Help to Buy, stamp-duty reductions; use of figures from the extract (e.g. 38% rise, deposit > 18 months' earnings).
- Diagram: demand curve shifts right ($D1 \rightarrow D2$); inelastic short-run housing supply causes a larger price effect than quantity effect; show new equilibrium $P1 \rightarrow P2$, $Q1 \rightarrow Q2$.
- Analysis (positive effects): supports demand and construction activity; helps some first-time buyers access mortgages; wealth effect for existing owners may support consumption.
- Analysis (negative effects): capitalised into higher prices; benefits housebuilders/existing owners more than first-time buyers; worsens affordability ratios; increases household debt.

Evaluation points expected

- Depends on price elasticity of supply: more elastic supply means more quantity, less price increase.
- Short-run vs long-run — time for new supply to respond.
- Regional variation — effects differ between London/SE and lower-demand regions.
- Magnitude and design of the policy — size, duration, eligibility caps.
- Opportunity cost of public spending on demand subsidies.

Marking notes

- A clear, correctly labelled diagram is essential for the top band.

- Cap at 9/12 without a diagram or with a seriously flawed diagram.
- Evaluation must go beyond single-sentence judgement to reach 10–12 marks.

Question 1(c) — Examine (8 marks)

Advantages of increasing housing supply through planning reform, rather than demand-side subsidies, as a means of improving affordability.

Marks breakdown

AO1 (K)	AO2 (App)	AO3 (An)
2	2	4

Indicative content

- Supply shifts right reduces equilibrium price — addresses root cause, not symptom.
- Tackles structural failure: restrictive planning / NIMBYism causing inelastic supply.
- Benefits renters as well as prospective buyers; may reduce private rents over time.
- Reduces need for ongoing fiscal subsidy — lower opportunity cost in the long run.
- Lower prices reduce intergenerational inequality and household indebtedness — macro stability gains.
- Positive externalities from new housing supply: better-quality stock, lower commuting costs, agglomeration.

Application expected

- Use of extract: “restrictive planning rules”, “intergenerational inequality”, “private rental sector rents risen sharply”.
- Use of figure: 38% rise in prices, supply clearly not responding proportionately.

Marking notes

- The command word is “Examine” — no explicit evaluation demand, but one-sided analysis should not reach the top of Level 3.
- Award up to 4 marks for listing benefits without analytical chains.

Question 1(d) — Evaluate (25 marks)

Microeconomic and macroeconomic factors the UK government should consider when designing policies to improve housing affordability by 2030.

Marks breakdown

AO1 (K)	AO2 (App)	AO3 (An)	AO4 (Ev)
4	6	7	8

Indicative content — microeconomic factors

- Price elasticity of supply in housing (planning, land, skilled labour, materials).
- Market failure analysis: positive externalities of new housing; negative externalities (congestion, loss of green belt).
- Information failures and behavioural biases affecting first-time buyers.
- Equity: distributional effects across income groups, regions and generations.
- Impact on the private rental market — landlords, renters, Housing Benefit bill.
- Effects on labour mobility and productivity (workers unable to move for jobs).

Indicative content — macroeconomic factors

- Impact on aggregate demand: construction contributes to investment (I) and employment; wealth effects on C.
- Inflation: housing costs enter CPI/OOH; lower housing costs could ease cost-push pressures.
- Financial stability: household debt, mortgage defaults, exposure of the banking sector.
- Fiscal implications: direct cost of subsidies, foregone stamp duty, Housing Benefit saving over time.
- Monetary policy interactions: rate cycles transmit strongly through housing — higher supply elasticity weakens that channel.
- Regional rebalancing and levelling up objectives.

Evaluation points expected

- Trade-offs between objectives (growth vs environment; affordability vs existing homeowner wealth).
- Time lags — supply-side reforms take years; political cycle makes demand-side policies tempting.
- Magnitude and significance: how much can planning reform actually move supply?
- Unintended consequences (e.g. concentrated development, quality/density issues).
- Depends on: macroeconomic conditions (rates, growth), construction capacity, political feasibility.
- Weighting of micro vs macro factors with a supported judgement.

Levels apply (see front of mark scheme)

Level	Marks	Descriptor
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5	21–25	Excellent, fully integrated knowledge. Application is sophisticated and embedded. Analysis is rigorous, chained and balanced. Evaluation is prioritised, contextual and leads to a reasoned, supported judgement.

Question 1(e) — Evaluate (25 marks)

Likely microeconomic and macroeconomic effects on the UK economy of a significant expansion in housebuilding by 2030.

Marks breakdown

AO1 (K)	AO2 (App)	AO3 (An)	AO4 (Ev)
4	6	7	8

Indicative content — microeconomic effects

- Supply curve shifts right in the housing market → lower equilibrium price and higher quantity transacted.
- Lower prices improve first-time buyer access; reduce house-price-to-earnings ratios.
- Downward pressure on private rents over the medium term.
- Negative wealth effect for existing homeowners; potential losses for housebuilders in the short run as margins compress.
- Positive impact on labour mobility and productivity; firms better able to recruit in high-productivity regions.
- Externalities: environmental impact (land use, biodiversity) vs social benefits (less overcrowding, better health).

Indicative content — macroeconomic effects

- Aggregate demand: increase in investment (I) from construction; multiplier effects on employment and incomes.
- Aggregate supply: long-run AS shifts right via higher labour mobility, productivity gains and capital stock.
- Inflation: housing costs form a significant share of CPI/OOH — expansion can be disinflationary.
- Financial stability: lower prices reduce mortgage leverage risk; but in the transition existing borrowers could face negative equity.
- Fiscal position: construction activity raises tax receipts; falling house prices may reduce stamp duty; lower Housing Benefit bill in the long run.
- Balance of payments: construction is largely non-tradeable but imported materials can widen the current-account deficit.

Diagram suggestions

- Housing supply/demand diagram — right-shift in S.
- AD/AS diagram — short-run AD shift and long-run AS shift.

Evaluation points expected

- Magnitude: how “significant” is the expansion? 300k, 500k homes per year?
- Time lags: construction cycles, planning delays, labour/materials constraints.
- Crowding out — public investment in housing vs other priorities.
- Regional distribution of the benefit (brownfield vs green belt, north vs south).
- Sensitivity to interest rates and macro conditions during the build-out period.
- Political and environmental constraints on reaching the target.
- Overall judgement: likely net positive long-run effect, but transitional losers and execution risk are significant.

Levels apply (see front of mark scheme)

Question 2(a) — Explain (5 marks)

Relationship between UK CPI inflation and the Bank of England Bank Rate, 2020–2025.

Marks breakdown

AO1 (K)	AO2 (App)
2	3

Indicative content

- Positive relationship overall, but with a clear lag — Bank Rate rises after CPI starts rising.
- 2020–21: CPI low, Bank Rate held near the zero lower bound (0.10%).
- 2022–23: CPI peaks at 9.1% (2022) and remains high at 7.3% (2023); Bank Rate rises from 3.50% to 5.25% as the MPC tightens to restore the 2% target.
- 2024–25: inflation returns toward target (3.2% → 2.3%); Bank Rate is cautiously reduced (5.00% → 4.00%).
- Interpretation: the BoE uses Bank Rate to respond to deviations of CPI from its 2% target — forward-looking Taylor-rule type behaviour, but with transmission lags.

Marking notes

- 1–2 marks: descriptive reference to the figures with limited explanation.
- 3–4 marks: explanation of the positive/lagged relationship with data.
- 5 marks: full explanation using data, references the inflation target and monetary policy rationale.

Question 2(b) — Examine (8 marks)

Effects on UK household consumption of the Bank Rate rising from 0.10% to 5.25% (2021–2023), using an AD/AS diagram.

Marks breakdown

AO1 (K)	AO2 (App)	AO3 (An)
2	2	4

Indicative content

- Transmission mechanism: Bank Rate → commercial lending/mortgage rates → disposable income and borrowing costs → consumption.
- Mortgage rates referenced in the extract rose from <2% to >6% — directly reducing disposable income for mortgage holders.
- Higher saving rates raise the opportunity cost of consumption and reward saving.
- Wealth effect: lower asset prices (housing, equities) reduce perceived wealth, dampening C.
- Expectations effect: uncertainty about future rates encourages precautionary saving.
- Overall: C falls → AD shifts left from AD1 to AD2 → lower real output and price level in SRAS/AS framework.

Diagram

- Correctly labelled AD/AS diagram with AD shifting left; axes Price level and Real GDP; equilibrium moving to lower output and lower price level.

Marking notes

- No/poor diagram caps the response at 5 marks.

- Top band requires chained analysis linking policy → cost of credit → disposable income → C → AD.

Question 2(c) — Discuss (12 marks)

Microeconomic and macroeconomic effects on UK firms of the Bank of England's tightening cycle.

Marks breakdown

AO1 (K)	AO2 (App)	AO3 (An)	AO4 (Ev)
3	3	3	3

Microeconomic effects

- Higher cost of capital reduces the NPV of investment projects — fewer projects clear the hurdle rate.
- Working capital is more expensive; smaller firms reliant on bank credit most affected (extract).
- Consumer-facing firms (hospitality, discretionary retail) hit by weaker household demand.
- Interest-rate-sensitive sectors (housebuilders, auto, construction) see sharper revenue falls.
- Input cost effects: cooling AD may ease some cost-push pressures, partially offsetting wage/energy costs.

Macroeconomic effects

- Aggregate investment (I) falls → AD left; LRAS growth may also be dampened.
- Exchange rate: higher UK rates tend to appreciate sterling — cheaper imports (lower input costs) but weaker export competitiveness.
- Employment may fall or hours reduce in interest-sensitive sectors; wage pressures ease.
- Inflation returns towards target (figure shows 9.1% → 2.3%), reducing nominal cost pressures over time.

Evaluation points expected

- Depends on firm size, indebtedness, sector and exposure to exports/imports.
- Time lags — “long and variable” lags of monetary policy (extract).
- Large cash-rich firms may actually benefit from higher returns on cash holdings.
- Magnitude of tightening — extract frames it as “fastest in three decades”.
- Overall net effect likely negative for most firms, but with sectoral and size-based heterogeneity.

Question 2(d) — Evaluate (25 marks)

Effectiveness of monetary policy as a tool for controlling cost-push inflation in the UK economy.

Marks breakdown

AO1 (K)	AO2 (App)	AO3 (An)	AO4 (Ev)
4	6	7	8

Indicative content — why monetary policy may be effective

- Anchors inflation expectations — credible tightening prevents second-round wage-price effects.
- Raises the cost of credit, cooling AD and reducing demand-pull pressures that can amplify cost-push shocks.
- Strong sterling from higher rates reduces imported inflation — particularly relevant for energy and food.
- Signals independence and commitment to the 2% target (BoE inflation-targeting regime).
- Figure shows CPI fell from 9.1% (2022) to 2.3% (2025) while Bank Rate was elevated — apparent effectiveness.

Indicative content — limitations for cost-push inflation

- Cost-push shocks originate on the supply side (energy, supply chains) — monetary policy does not directly address the source.
- Reducing AD to control cost-push inflation imposes unnecessary output and employment losses — stagflationary risk.
- Long and variable transmission lags (extract) — inflation may have fallen for supply reasons irrespective of BoE action.
- Distributional concerns: mortgage-holders and SMEs bear the cost, while asset-rich households are insulated (extract).
- Effective lower bound / political economy constraints on how far rates can go.

Alternative and complementary tools

- Macroprudential policy (e.g. LTI caps, capital requirements) targets financial stability without broad AD effects.
- Targeted fiscal measures — energy price support, VAT changes, subsidies — address cost-push at source.
- Supply-side reforms — energy security, productivity, skills — reduce structural cost pressures.

Evaluation points expected

- Depends on the nature of the shock: monetary policy is better suited to demand-driven inflation.
- Depends on expectations anchoring — if expectations drift, tightening becomes necessary even against cost shocks.
- Short-run costs (unemployment, mortgage stress) vs long-run credibility gains.
- Interaction with fiscal policy — coordinated response can reduce the burden on monetary policy alone.
- Judgement: monetary policy is necessary but insufficient for cost-push inflation; best combined with supply-side and targeted fiscal action.

Levels apply (see front of mark scheme)

Question 2(e) — Evaluate (25 marks)

Extent to which supply-side policies and fiscal policy — rather than monetary policy — should be used to control UK inflation.

Marks breakdown

AO1 (K)	AO2 (App)	AO3 (An)	AO4 (Ev)
4	6	7	8

Indicative content — case for supply-side and fiscal policy

- UK inflation drivers identified in extract are largely structural: energy dependence, supply-chain fragility, weak productivity, skills shortages.
- Supply-side reforms (training, infrastructure, energy investment, competition policy) shift LRAS right and reduce cost pressures at source.
- Fiscal policy can be targeted: energy subsidies, VAT cuts on essentials, investment in supply bottlenecks — reducing headline inflation without broad AD contraction.
- Avoids the distributional costs of monetary tightening (mortgage holders, SMEs) highlighted in the extract.
- Credible fiscal consolidation can anchor inflation expectations by reducing the public-sector demand impulse.

Indicative content — case for keeping monetary policy as the primary tool

- Monetary policy is flexible, can be changed monthly by the independent MPC — fiscal policy is slower and politicised.
- Inflation targeting by an independent central bank has anchored UK inflation expectations since 1997 — a key institutional credibility asset.
- Bank Rate has a broad and relatively predictable effect on AD; fiscal measures are harder to calibrate.
- Coordination problems: loose fiscal and tight monetary can conflict (as seen in 2022).
- Supply-side policies have long implementation lags and may not address short-run inflation.

Application expected

- Use of figure 2: inflation peaked at 9.1% (2022) and fell to 2.3% (2025) alongside aggressive rate rises.
- Use of extract: “structural inflation drivers”, “targeted fiscal measures”, “macroprudential policy”.
- Reference to real-world examples: energy price guarantee, skills policies, BoE independence.

Evaluation points expected

- Depends on the source of inflation — supply-side tools dominate for structural/cost-push; monetary tools for demand-pull.
- Time horizons — monetary policy is a short-run stabilisation tool; supply-side policies address the long run.
- Policy credibility — moving away from BoE independence would be institutionally risky.
- Political economy — fiscal restraint is harder than rate rises in practice.
- Best answer is a policy mix: monetary policy as short-run anchor, supply-side as long-run solution, fiscal as targeted complement — not a binary choice.
- Supported judgement reflecting these trade-offs.

Levels apply (see front of mark scheme)

TOTAL MARKS AVAILABLE: 100
END OF MARK SCHEME